

Unconscionable?

Plaintiff also argues that the Arbitration Agreement is unenforceable because it is unconscionable.

The doctrine of unconscionability refers to “an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party.” (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1133.) It consists of both procedural and substantive components – “the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” (*Ibid.*)

In order to be unenforceable due to unconscionability, “[procedural and substantive unconscionability] must both be present.” (*Armendariz v. Found Health Psychcare Servs., Inc.*, 24 Cal.4th at 114, quoting *Stirlen v. Supercuts, Inc.* (1997) 51 Cal.App.4th 1519, 1533; see also, *Wherry v. Award, Inc.* (2011) 192 Cal.App.4th 1242, 1246 [“To be voided on [unconscionability] ground[s], the agreement must be both procedurally and substantively unconscionable.”].) However, “they need not be present in the same degree.” (*Armendariz*, 24 Cal.4th at 114; *Parada v. Superior Court* (2009) 176 Cal.App.4th 1554, 1570.)

“Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz*, 24 Cal.4th 83 at 114.)

“The party resisting arbitration bears the burden of proving unconscionability.” (*Pinnacle Museum Tower Ass’n v. Pinnacle Market Dev. (US), LLC* (2012) 55 Cal.4th 223, 247.)

Procedural Unconscionability

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties' circumstances at that time. It focuses on the factors of surprise and oppression. (*Kinney v. United Healthcare Servs.* (1999) 70 Cal.App.4th 1322, 1329.)

These factors “include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126-127.)

Thus, the Supreme Court instructs courts to first determine whether an arbitration agreement is adhesive. (See *Armendariz*, 24 Cal. 4th at 114-115.) “Oppression generally takes the form of a contract of adhesion, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (*Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84, quotations and citations omitted.)

Plaintiff contends the Arbitration Agreement is procedurally unconscionable because it was presented on a take-it-or-leave-it basis as part of an onboarding packet, without an opportunity to negotiate, adequate time for review, or advisement regarding consultation with counsel. Plaintiff further argues the arbitration provision was obscured within a multi-section document titled “Applicant’s Statement & Agreement,” without a separate heading clearly identifying it as an arbitration agreement or waiver of jury trial rights.

While some degree of procedural unconscionability may exist because the agreement was presented in the employment context, any such unconscionability appears to be minimal. The arbitration provisions comprise most of the two-page agreement and are not hidden within a lengthy or confusing document. Further, there is no